

Circular NR-02 — Digital Asset Custody — New Licensing and Operational Requirements

Reference:	FRA/NR/2025/002	Issue Date:	25 Mar 2025
Effective Date:	01 Nov 2025	Response Deadline:	31 Aug 2025
Issuing Authority:	Financial Regulatory Authority	Classification:	MANDATORY

1. New Licensing Requirement

Firms wishing to provide digital asset custody services must obtain a Digital Asset Custodian (DAC) licence from the Authority. This is a new licence category — no existing licence covers digital asset custody. Unlicensed custody services must cease by 1 Nov 2025.

2. Capital Requirements

DAC licence holders must maintain minimum capital of USD 2 million plus 2% of assets under custody. Capital must be held in liquid, unencumbered form. Daily capital adequacy reporting to the Authority is required.

3. Cold Storage Mandate

A minimum of 95% of client digital assets must be held in cold storage (offline) at all times. Hot wallet holdings must be covered by a crime insurance bond equivalent to 125% of the hot wallet value. Cold storage procedures must be audited annually by an approved cybersecurity firm.

4. Application Process

Submit DAC licence applications by 31 Aug 2025 via the Authority portal. Applications must include a detailed operational risk assessment, technology architecture review and evidence of USD 2 million minimum capital.